

Unaudited Interim Condensed Consolidated Statements of Cash Flows

(Amounts expressed in thousands of United States dollars, except for share and per share amounts)

	For the Three Months Ended	
	March 31, 2026	March 31, 2025
Operating activities		
Net loss from continuing operations	\$ (6,829)	\$ (7,665)
Adjustments to reconcile net loss to net cash provided by operating activities		
Accretion and accrued interest	5,151	1,870
Depreciation of property and equipment and amortization of intangible assets	4,140	3,946
Amortization of operating right-of-use assets	378	408
Share-based compensation	885	1,514
Deferred income tax expense	299	456
Gain on fair value of derivative liabilities	(1,403)	(97)
Unrealized and realized loss on investments	—	742
Loss from revaluation of contingent consideration	—	381
Provision for expected credit loss	239	480
Unrealized and realized foreign exchange loss	178	42
Impairment and other	36	(5)
Changes in operating assets and liabilities		
Receivables	1,103	2,050
Inventory	(2,181)	1,629
Accounts payable and accrued liabilities	(918)	(1,911)
Income taxes paid and tax related liabilities	8,455	6,848
Prepaid expense and other current assets	(896)	699
Other assets and liabilities	15	(209)
Net cash provided by operating activities - continuing operations	8,652	11,178
Net cash used in operating activities - discontinued operations	(165)	(3,174)
Net cash provided by operating activities	8,487	8,004
Investing activities		
Investment in property and equipment	(865)	(2,358)
Investment in note receivable, net of interest received	40	61
Investment in intangible assets	(44)	(659)
Cash portion of consideration paid in acquisition, net of cash received	(3,722)	—
Refund of deposits for business acquisition	3,400	—
Net cash used in investing activities - continuing operations	(1,191)	(2,956)
Net cash provided by (used in) investing activities - discontinued operations	1,195	(328)
Net cash provided by (used in) investing activities	4	(3,284)
Financing activities		
Loan principal paid, including exit fees	(5,667)	(980)
Capital distributions paid to non-controlling interests	(1,188)	(738)
Payment for contingent consideration	—	(386)
Repurchases of common shares	(77)	(231)
Net cash used in financing activities - continuing operations	(6,932)	(2,335)
Net cash used in financing activities - discontinued operations	(200)	—
Net cash used in financing activities	(7,132)	(2,335)
Net increase in cash and cash equivalents and restricted cash during the period	1,359	2,385
Net effects of foreign exchange	231	(14)
Cash and cash equivalents and restricted cash, beginning of the period	37,524	26,987
Cash and cash equivalents and restricted cash, end of the period	\$ 39,114	\$ 29,358

The accompanying notes are an integral part of these unaudited interim condensed consolidated financial statements.

TerrAscend Corp.

Unaudited Interim Condensed Consolidated Statements of Cash Flows (Continued)

(Amounts expressed in thousands of United States dollars, except for share and per share amounts)

	For the Three Months Ended	
	March 31, 2026	March 31, 2025
Supplemental disclosure with respect to cash flows		
Cash paid for Federal income tax, net	\$ —	\$ 2,566
Cash paid for State income tax, net		
New Jersey	1,520	600
Maryland	—	13
Pennsylvania	—	—
Other	1	10
Total cash paid for income tax, net	<u>\$ 1,521</u>	<u>\$ 3,189</u>
Interest paid	\$ 7,139	\$ 6,420
Non-cash transactions		
Change in accrued capital expenditures	2,263	171

The accompanying notes are an integral part of these unaudited interim condensed consolidated financial statements.